

intended specifically to aid the Baltimore and Ohio and Lehigh Valley roads, which had previously proposed voluntary reorganization plans. These were designed to reduce fixed-interest charges and to extend current and near maturities. The stockholders, in each case, were to retain their interests intact.

As we have previously stated, it is our opinion that voluntary readjustment plans are desirable in themselves, but they should be proposed *after* voting control over the corporation has passed to the bondholders, and they are in a position to choose between alternative courses of action.

Change in the Status of Bond Trustees. Not the least important of the remedial legislation enacted since 1933 is the “Trust Indenture Act of 1939.” This undertakes to correct a number of inadequacies and abuses in the administration of their duties by bond trustees. The chief criticism of the behavior of indenture trustees in the past is that they did not act as trustees at all but merely as agents of the bondholders. This meant that as a general rule they took no action on their own initiative but only when directed to do so and were fully indemnified by a certain percentage of the bondholders.¹³ Indentures have said practically nothing about the duties of a trustee but a great deal about his immunities and indemnification.

The 1939 statute aims directly at this unsatisfactory situation by including the following provision (in Section 315):

Duties of the Trustee in Case of Default

(c) The indenture to be qualified shall contain provisions requiring the indenture trustee to exercise in case of default (as such term is defined in the indenture) such of the rights and powers vested in it by such indenture, and to use the same degree of care and skill in their exercise, as a prudent man would exercise or use under the circumstances in the conduct of his own affairs.

There are further provisions limiting the use of so-called “exculpatory clauses,” which in the past made it impossible to hold a trustee to account

is concerned, it is not significantly different from that provided in Section 77. In both cases approval of the I.C.C., of a court, and of a suitable percentage of security holders is required. The important difference is that under the new Chap. XV there is no bankruptcy in the involved legal sense. The company continues to administer its own affairs, and no contracts or other obligations are affected except those specifically included in the plan of readjustment.

¹³ See Appendix Note 33 for further discussion and an example on this point appearing in the first edition of this work.